Practice workbook · Why non-current assets lose value (causes of depreciation)

Why non-current assets lose value over time, on either paper.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-01

1. Question 13 · part b · 2 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

.....

(Total for Question 13 = 5 marks)

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Working and answer

2. Question 16 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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2. Question 16 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

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2. Question 16 · part c · 3 marks · Working and answer

Working and answer

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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

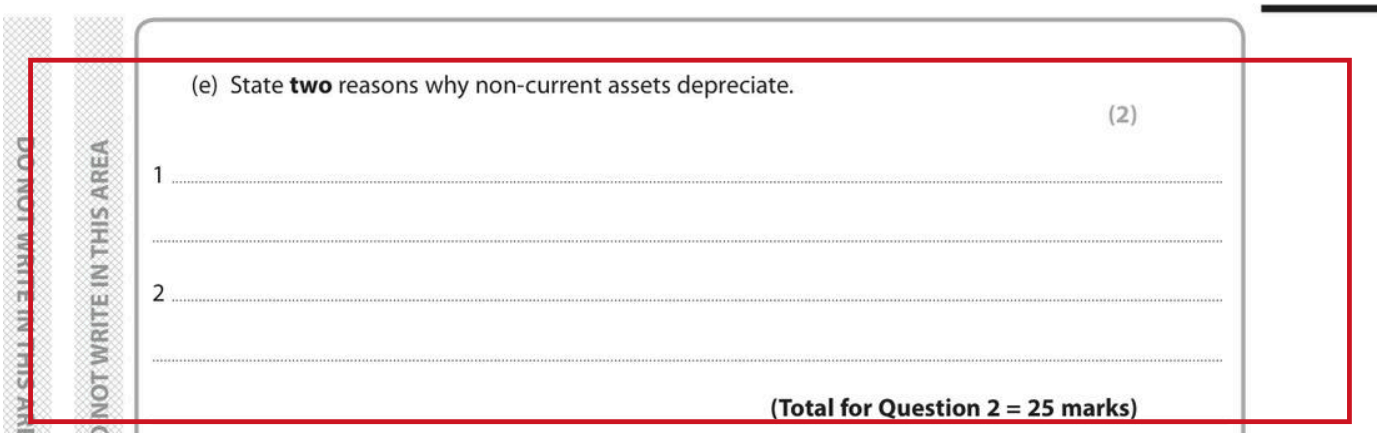
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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



(e) State **two** reasons why non-current assets depreciate.

(2)

1 .....

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2 .....

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(Total for Question 2 = 25 marks)

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Working and answer

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 13 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

13 On 31 December 2019, Lewin sold a motor vehicle, cost $20 000, with a carrying value of $16 000. The proceeds of the sale, $16 400, were received by cheque.

(a) Prepare the disposal account for the year ended 31 December 2019.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(b) State **one** cause of depreciation of a non-current asset.

(1)

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(Total for Question 13 = 5 marks)

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Working and answer

6. Question 18 · part b · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

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6. Question 18 · part b · 2 marks · Working and answer

Working and answer

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7. Question 17 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

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(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	Revenue expenditure
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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7. Question 17 · part a · 2 marks · Working and answer

Working and answer

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8. Question 7 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

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7 Identify which of the following are causes of depreciation.

1 Passage of time

2 Usage

3 Wear and tear

☒ **A** 1 and 2 only

☒ **B** 1 and 3 only

☒ **C** 2 and 3 only

☒ **D** 1, 2 and 3

(Total for Question 7 = 1 mark)

Working and answer

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9. Question 18 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

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Revenue expenditure

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On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

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(ii) reducing balance method of depreciation at 20% per annum.

(1)

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9. Question 18 · part a · 2 marks · Working and answer

Working and answer

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